INFRASTRUCTURE UNDER FIRE

US–Iran Conflict & the Weaponization of Cloud, Cable, and Compute

By Winta Brhane & Yael Ehrlich

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3	96%	17	$300B
AWS Facilities Struck UAE & Bahrain	Iran Internet Blackout (NetBlocks)	Red Sea Cables at Risk Euro–Asia–Africa corridor	Gulf Investment Exposed Hyperscalers

On February 28, 2026, a joint US–Israeli strike package, Operation Epic Fury, destroyed Iranian nuclear and IRGC command infrastructure and killed Supreme Leader Ali Khamenei.

Iran's retaliatory drone and missile campaign, launched within hours, included an unprecedented targeting of commercial cloud data centers.

This paper examines the cascading impact on global data infrastructure: the kinetic strikes on Amazon Web Services (AWS) facilities in the UAE and Bahrain; the simultaneous closure of the Red Sea and Strait of Hormuz maritime data corridors; the near-total internet blackout imposed across Iran; and the broader implications for hyperscaler AI investment, sovereign data strategy, and the emerging doctrine that commercial compute infrastructure is a legitimate military target.

The analysis draws on live reporting, threat intelligence, and expert commentary published through March 11, 2026, and concludes with strategic recommendations relevant to technology investors, sovereign wealth fund operators, and AI infrastructure developers, including those with exposure to the African and emerging-market compute build-out.

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I. Background: A Conflict with Digital Dimensions

For decades, the Strait of Hormuz has been the world's most consequential maritime choke point for energy supply. In February 2026, it became something more: a critical node in the global data infrastructure. The US–Iran conflict, which escalated sharply following Operation Epic Fury on February 28, has produced the most significant disruption to civilian digital infrastructure ever recorded in an active war zone, and the first confirmed military strikes on hyperscale cloud facilities anywhere in the world.

The immediate trigger was the US–Israeli operation, which struck Iranian nuclear sites at Natanz, Fordow, and Isfahan, as well as IRGC command posts in Tehran and Karaj. Reports confirmed the killing of Supreme Leader Ayatollah Ali Khamenei. Iran's response was swift and deliberately calibrated to maximize economic and reputational damage rather than pure military effect, a doctrine the country has rehearsed through years of proxy warfare and asymmetric cyber operations.

KEY FINDING

For the first time in history, both the Strait of Hormuz and the Red Sea, the only two maritime routes carrying data in and out of the Gulf, are simultaneously closed to commercial traffic, including cable repair vessels.

Iran's strategy appears to reflect a studied awareness of where Western economies are most exposed. The Gulf region had, in the three years prior to the conflict, become the focal point for the world's most ambitious AI infrastructure buildout. US President Trump's May 2025 tour of the region produced over $2.2 trillion in investment pledges, anchored by the Stargate UAE campus in Abu Dhabi, a 10-square-mile, 5-gigawatt AI facility involving OpenAI, Oracle, Nvidia, and G42. Microsoft committed $15 billion to the UAE by 2029; Amazon $5 billion to Saudi Arabia's Humain AI initiative. These facilities were not incidental targets. They were the strategic logic of Iran's retaliation.

II. The Kinetic Attack: AWS Data Centers as Military Targets

2.1 The Strikes

On Sunday, March 1, 2026, seventy-two hours after Operation Epic Fury commenced, Iranian drones struck three Amazon Web Services facilities: two in the UAE (ME-CENTRAL-1 availability zones mec1-az2 and mec1-az3) and one in Bahrain (ME-SOUTH-1, zone mes1-az2). AWS confirmed

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the attacks on its Health Dashboard late Monday, describing 'structural damage, disrupted power delivery... and in some cases fire suppression activities that resulted in additional water damage.'

AWS HEALTH DASHBOARD, MARCH 2, 2026

"In the UAE, two of our facilities were directly struck, while in Bahrain, a drone strike in close proximity to one of our facilities caused physical impacts to our infrastructure."

The Uptime Institute confirmed these as the first military strikes on a hyperscale cloud provider in history. The drones used were identified as Shahed-136 variants, the same uncrewed aerial vehicles Iran has exported to Russia for use in Ukraine and which have demonstrated an ability to strike large industrial facilities with precision. The choice of target was explicit: Iran's state news agency Fars confirmed via Telegram that the Bahrain facility was struck because AWS hosts US military intelligence workloads, including the AI models used for targeting during Operation Epic Fury.

2.2 Service Outages and Cascading Economic Impact

The strikes knocked out two of ME-CENTRAL-1's three availability zones. AWS's redundancy architecture is designed to survive the failure of a single zone, but not a coordinated multi-site attack. Core services including EC2, S3, DynamoDB, Lambda, and RDS all experienced 'elevated error rates and degraded availability.' The outages cascaded immediately into consumer-facing services across the Gulf:

- Banking: Emirates NBD phone services disrupted; ADCB mobile app offline
- Payments: Hubpay and Alaan payment platforms taken offline
- Commerce: Careem (ride-share and delivery) reported full outage across UAE
- Enterprise: Snowflake reported 'elevated connectivity issues and error rates within the region'
- Cloud services: Microsoft's Azure also reported increased latency through the Middle East region

AWS advised all customers to activate disaster recovery plans and migrate workloads out of the affected Middle East regions immediately. The company also instructed its corporate employees across the region to work remotely. Recovery was described as 'prolonged given the nature of the physical damage involved.' As of March 11, some services remained partially impaired.

STRATEGIC INSIGHT

The dual-use reality of cloud infrastructure means attacks on commercial data centers carry military consequences. Multiple outlets confirmed that US forces used AWS-hosted AI systems, including Anthropic's Claude, for intelligence assessment and battle

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simulation during the Iran strikes. This convergence makes commercial data centers legitimate military targets under adversaries' operational logic.

III. The Submarine Cable Crisis: A Globally Disruptive Event

3.1 The Dual Chokepoint Closure

The physical attacks on data centers were accompanied by a structural threat to the submarine cables that give the Gulf its digital connectivity to the rest of the world. The region's internet architecture has two critical vulnerabilities: the Red Sea in the west and the Strait of Hormuz in the east. Under normal conditions, these routes carry the bulk of data traffic between Europe, Asia, and Africa. As of the first week of March 2026, both were effectively closed.

17	0%	0	33%
Red Sea Cables	**Hormuz Traffic**	**Repair Ships Permitted**	**India Westbound Data**
Europe–Asia–Africa corridor	As of March 2, 2026	Active conflict zones	Passes through Hormuz region

The Strait of Hormuz carries submarine fiber-optic cables serving Iran, Iraq, Kuwait, Bahrain, and Qatar. On March 2, a senior IRGC official formally declared the strait closed, threatening any vessel that attempted passage. This closure made cable repair operations impossible, compounding existing damage: multiple Red Sea cables including Airtel's SEA-ME-WE 4 and I-ME-WE systems, along with Flag Telecom's FALCON cables, had been cut near Jeddah in September 2025 and had never been repaired due to escalating regional risks.

DOUG MADORY, DIRECTOR OF INTERNET ANALYSIS, KENTIK

"Closing both choke points simultaneously would be a globally disruptive event. I'm not aware of that ever happening."

3.2 Global Connectivity Implications

The dual closure has produced measurable effects across multiple geographies. India, whose westbound internet traffic relies on the Hormuz cable corridor for approximately one-third of its international data flows, faces potential latency increases and service disruptions for financial, healthcare, and government digital services. Microsoft Azure had already reported increased latency through the Red Sea corridor in September 2025 following the earlier cable cuts; conditions have now deteriorated significantly.

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The standard fallback for Red Sea disruptions, rerouting traffic around Africa's Cape of Good Hope, significantly increases transit times and adds months to cable repair logistics. With Houthi forces having resumed Red Sea attacks following the onset of Operation Epic Fury, this rerouting path also faces renewed uncertainty. Sam Zabin, a fellow at CSIS, noted that the Gulf's data infrastructure had never been stress-tested this way: 'Oil has had decades of conflict exposure and is heavily integrated into military planning. Data centers, until recently, were treated as commercial assets rather than national security concerns.'

3.3 The Overland Corridor Race

In direct response to the dual closure, Gulf states are now aggressively financing overland fiber-optic corridors to reduce dependence on the compromised maritime routes. Saudi Arabia, Qatar, and the UAE are funding at least six competing cable corridors through Syria, Iraq, and East Africa. Qatar's Ooredoo announced a 720-Tbps subsea cable system (Fiber in Gulf, or FiG) connecting all GCC states plus Iraq, expected in late 2027, with a separate $500 million commitment to overland routes from Iraq through Turkey to Europe.

The overland corridor strategy is complicated by Gulf geopolitics: the same countries racing to build these routes were in active economic dispute as recently as 2021 under the Saudi-led blockade of Qatar. Analysts caution that competition for infrastructure influence, rather than cooperative alignment, may undermine the speed of deployment. The historical precedent is not encouraging, a previous overland link through Syria (JADI) was severed by civil war and never reconstituted.

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IV. The Cyber Dimension: Iran's Digital War

4.1 Iran's Offensive Cyber Doctrine

Iran's response to Operation Epic Fury was not limited to drones and missiles. The conflict triggered what CSIS describes as the most aggressive deployment of Iran's 'Great Epic' cyber campaign, a doctrine that blends state-sponsored operations, proxy hacktivist groups, and opportunistic criminal actors. Since 2010, Iran has developed one of the world's most capable asymmetric cyber programs, including demonstrated ability to conduct destructive wiper attacks, DDoS campaigns, industrial control system intrusions, and election interference operations.

The current campaign is coordinated across multiple threat actor clusters:

- MuddyWater APT: Executing Operation Olalampo, a structured cyber offensive targeting the META region (Middle East, Turkey, Africa) with tactics overlapping a separately tracked campaign designated RedKitten, indicating shared infrastructure across Iranian-aligned actors.
- Handala: A highly active hacktivist group conducting hack-and-leak operations and defacement campaigns against Israeli and American targets.
- DieNet: A pro-Palestinian hacktivist group that emerged March 2025 and has claimed responsibility for DDoS attacks against US critical infrastructure, Kuwaiti government sites, and Israeli municipal entities.
- Cyber Av3ngers (Mr. Soul): Claimed access to Israeli power transmission infrastructure and alleged disabling of warning sirens.
- Sicarii RaaS: A ransomware operation with a critical encryption flaw that renders data permanently unrecoverable, classified by Halcyon as an unusually destructive threat due to the impossibility of key restoration.

RADWARE THREAT INTELLIGENCE

A 700% increase in cyberattacks targeting Israel was recorded following the February 28 US–Israeli strikes on Iran.

4.2 AI-Accelerated Attacks: The Next Vector

Among the most significant intelligence assessments emerging from this conflict is the recognition that Iran is actively exploring AI-augmented cyber operations. Unlike China, which Anthropic publicly confirmed in November 2025 had used commercial AI systems to conduct largely automated attacks against technology companies and government agencies, Iran lacks

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easy access to Western AI platforms due to sanctions. However, this barrier is not as constraining as it appears.

Leeron Walter, VP of Strategy at Teramind, observed that open-weight models like Meta's Llama and DeepSeek can be downloaded, run locally without internet connectivity, and fine-tuned without restriction. For a sanctioned nation-state, locally deployed open-weight models offer superior operational security compared to monitored commercial platforms, there is 'no kill switch, no logging, and no terms of service.' Iran's state cyber actors are almost certainly leveraging these capabilities to accelerate reconnaissance, credential harvesting, and vulnerability exploitation at scale.

Robert Kolasky, former director of the Cybersecurity and Infrastructure Security Agency's National Risk Management Center, warned that AI-enabled cyberattacks have not been tested at scale against US critical infrastructure, and whether that infrastructure can defend against novel AI-generated attack patterns 'is unknown.'

4.3 Targets: Finance, Energy, Defense, and Data

CISA, the FBI, NSA, and DC3 issued a joint advisory urging critical infrastructure organizations to immediately heighten monitoring for Iranian-affiliated threat activity. The advisory specifically identified Defense Industrial Base companies, particularly those with relationships to Israeli research and defense firms, as at 'increased risk.' Beyond defense, Iran has historical precedent for targeting:

- Water systems: In 2023, IRGC officials were sanctioned for directing cyber operations against US water utilities.
- Financial services: DDoS campaigns have previously disabled major US bank websites for extended periods.
- Energy infrastructure: Fuel distribution disruptions have been conducted in Jordan; oil field attacks are part of Iran's proxy playbook.
- Operational technology: IRGC-affiliated actors compromised Israeli-made PLCs and HMIs across dozens of US water facilities during the 2023–2024 conflict period.

The IT-ISAC and Food and Agriculture ISAC issued a joint statement confirming that hacktivist groups are actively exploiting vulnerable systems, conducting spear-phishing, and 'carrying out both disruptive and destructive attacks', and that these operations frequently 'overlap strategically with the goals of state-sponsored objectives.'

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V. Iran's Internal Internet Blackout: The Digital Iron Curtain

The conflict has produced a second, underreported infrastructure story: the near-total destruction of Iran's own internet connectivity. As airstrikes began on February 28, Israel reportedly launched what CloudSEK's situation report describes as 'the largest cyberattack in history against Iran,' targeting IRGC command and control infrastructure, official media, government digital services, and security communications networks.

NetBlocks, the global internet monitoring organization, confirmed that nationwide internet traffic in Iran dropped to 4% of ordinary levels within hours of the strike package. By March 6, that figure had fallen further to approximately 1%. The Iranian Minister of Communications acknowledged the shutdown was costing the economy $35.7 million per day; online sales fell 80% during the blackout period; the Tehran Stock Exchange lost 450,000 index points over four days; and financial transaction volumes declined by 185 million in January alone.

1%	$35.7M	80%	185M
Iran Internet Traffic As of March 6, 2026	**Daily Economic Cost** Iranian Minister of Communications	**Drop in Online Sales** During blackout period	**Fewer Financial Txns** January 2026

This blackout has strategic dual implications. On one hand, it reduces Iran's capacity to coordinate state-directed cyber operations, CSIS notes that Iranian internet-connected state groups will be 'less active than their geographically dispersed proxies who operate autonomously from outside Iran.' On the other hand, it means that attribution of Iranian-linked attacks becomes more difficult, as operations are increasingly conducted by loosely coordinated diaspora hacktivist networks rather than centrally commanded APT groups.

The internal blackout also reflects a longer-term trajectory. A Filterwatch report published in January 2026 detailed Iran's plan for 'Absolute Digital Isolation', transforming the country's internet into a 'Barracks Internet' allowing external access only to security-cleared entities through a monitored whitelist. The conflict has accelerated this trajectory, potentially making Iran's domestic digital infrastructure permanently opaque to external monitoring.

STRATEGIC IMPLICATION FOR AI INFRASTRUCTURE INVESTORS

A fully isolated Iranian internet eliminates the ability to conduct open-source intelligence monitoring of Iranian state cyber activity. Attribution timelines will lengthen, and threat detection for regional AI and data center operators will rely increasingly on signals intelligence and closed-source threat feeds.

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VI. The AI Infrastructure Bet: What Is at Stake

6.1 The Gulf's AI Ambition

To understand the stakes, one must appreciate the scale of the technological investment that has been placed in the line of fire. The Gulf region entered 2026 as the most aggressively courted frontier for global AI infrastructure investment, underpinned by four structural advantages: abundant sovereign capital, available land, competitively priced energy, and political alignment with the Trump administration's technology security agenda (the January 2026 Pax Silica initiative brought UAE and Qatar into a US-led framework to limit Chinese semiconductor access).

Key commitments as of early 2026 included:

- Stargate UAE: A joint venture of OpenAI, Oracle, Nvidia, Cisco, and G42, a 10-square-mile, 5-gigawatt AI campus in Abu Dhabi, the largest planned outside the United States.
- Microsoft UAE: $15 billion committed by 2029, with Bahrain having migrated approximately 85% of government data to the AWS Bahrain region.
- Amazon–Humain: $5 billion committed to an AI hub in Riyadh in partnership with Saudi Arabia's national AI company.
- Saudi AI buildout: Plans for data centers consuming up to 6.6 gigawatts of power by 2034; xAI and Humain partnering on a 500-megawatt facility.
- Gulf sovereign capital: Gulf states collectively expected to invest over $300 billion in data centers, chips, and AI infrastructure.

6.2 The Conflict's Impact on Investment Calculus

The drone strikes on AWS have fundamentally altered the risk calculus for this investment wave. Gary Wojtaszek, Chairman and interim CEO of data center developer Pure Data Centre Group, with operational facilities in Riyadh and Abu Dhabi, said the conflict would likely cause the company to 'slow down' its Middle East expansion plans. IDC analyst Stephen Minton warned that while Gulf AI spending is likely to continue in the near term, a conflict lasting several months could trigger a 'disruption' to investment timelines.

The Stargate UAE project faces particular scrutiny. The campus is designed to occupy 10 square miles of Abu Dhabi, a large, visible, unmissable target that cannot realistically be protected by conventional perimeter security against drone warfare. The UAE intercepted 165 ballistic missiles, two cruise missiles, and 541 drones over a single weekend during the opening phase of the conflict. That level of intercept capacity is exceptional, but it is not infinite.

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> **SAM WINTER-LEVY, CARNEGIE ENDOWMENT FOR INTERNATIONAL PEACE**
> *"[Physical attacks on data centers] are only going to become more common moving forward as AI becomes more and more significant."*

Experts suggest that infrastructure firms will need to consider two strategic adaptations: shifting to less geopolitically vulnerable regions, or hardening existing and future data centers with missile defense and counter-drone technology. The latter approach is unprecedented for commercial cloud infrastructure and introduces a new category of capital expenditure that hyperscalers have never previously budgeted.

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VII. Implications for Africa and Emerging Market Compute

The Tatari Institute's primary investment and research focus encompasses AI and compute infrastructure in sub-Saharan Africa, including active operations in Ethiopia. The US–Iran conflict and the resulting disruption to Gulf data infrastructure carry specific implications for this geography that merit dedicated analysis.

7.1 Cable Rerouting and African Connectivity

The standard fallback route for Red Sea cable disruptions runs around Africa's Cape of Good Hope, adding significant latency and increasing the strategic importance of African coastal landing stations. This creates a short-term traffic increase through West and East African cable infrastructure, but it also places African coastal cable assets in greater geopolitical salience, potentially making them more attractive targets for adversaries seeking to compound Gulf disruptions. East African cable infrastructure, particularly the landing stations serving Ethiopia, Kenya, Tanzania, and the broader East African Community, sits at the intersection of the rerouting imperative and the overland corridor race. Gulf states building overland fiber routes through East Africa to Europe will increasingly seek partnerships with African governments and telecom operators, creating both investment opportunities and new exposure to the geopolitical volatility of the corridor states.

7.2 The Sovereign Data Infrastructure Argument

The conflict powerfully reinforces one of the central arguments in Tatari Institute's research agenda: that emerging-market governments can no longer treat data infrastructure as a commercially-operated afterthought. The experience of Bahrain, which had migrated 85% of government data to AWS Bahrain and now faces a facility that is offline and in a conflict zone, illustrates the risks of sovereign data dependency on commercially operated, geographically exposed hyperscaler infrastructure. African governments investing in national AI strategies and data sovereignty frameworks should take specific note of the pattern that has emerged from this conflict: commercial hyperscaler data centers in proximity to geopolitical flashpoints can be taken offline by drone strikes, cyber operations, or regional internet blackouts, and the hyperscalers' recovery advice is simply to migrate workloads to another region. For governments whose national data has no 'other region,' this is an unacceptable risk profile.

TATARI INSTITUTE RESEARCH POSITION

The US–Iran conflict validates the sovereign compute thesis: nations dependent on commercial hyperscaler infrastructure in geopolitically exposed regions face unacceptable continuity risks. Distributed, domestically anchored data infrastructure, particularly in stable, energy-rich African markets, represents a structurally superior risk profile for long-term AI investment.

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7.3 Bitcoin Mining and Energy Infrastructure

The energy infrastructure underpinning AI compute is directly implicated in the Hormuz crisis. Iran's closure of the strait has sent global energy prices sharply higher; US stocks opened lower on successive days as oil supply shock fears mounted. This energy price shock affects the operating economics of data centers globally including Tatari's own mining operations in Addis Ababa, which benefit from Ethiopia's low-cost hydroelectric power.

Higher global energy prices increase the relative cost advantage of Ethiopian and other African grid-connected compute infrastructure relative to Gulf facilities that are exposed both to energy disruption and to kinetic attack. The risk-adjusted economics of African compute are becoming more favorable, not less, as the Gulf conflict evolves.

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VIII. Strategic Recommendations

The following recommendations are directed at technology investors, sovereign wealth fund operators, AI infrastructure developers, and government technology policy stakeholders.

For AI Infrastructure Developers and Cloud Operators

- **Implement multi-region redundancy immediately:** AWS's single-region architecture was not designed to withstand coordinated multi-site kinetic attacks. Any organization with critical workloads in the Gulf should implement active-active multi-region architectures that can fail over to geographically distant zones without human intervention.
- **Integrate physical security into site selection:** Data center site selection must now include geopolitical conflict risk modeling alongside traditional considerations of land cost, energy availability, and fiber connectivity. This includes assessment of drone threat vectors and counter-UAV infrastructure requirements.
- **Diversify submarine cable exposure:** Organizations with material internet traffic through the Red Sea or Hormuz corridors should immediately assess alternative routing through Atlantic and Pacific cable systems, and engage in capacity reservation agreements with African and European carriers.
- **Treat open-weight AI models as offensive infrastructure:** Security teams must model threat scenarios in which adversaries deploy locally-run, unmonitored AI systems for reconnaissance, credential harvesting, and automated vulnerability exploitation, with no commercial platform providing detection signals.

For Sovereign Wealth Funds and Government Technology Investors

- **Reassess Gulf AI infrastructure exposure:** The $300 billion in Gulf AI infrastructure investment faces material execution risk if the conflict persists beyond 90 days. SWF portfolios with significant exposure to Stargate UAE, Humain, and regional hyperscaler buildouts should conduct scenario analysis on a 6- to 18-month conflict duration.
- **Accelerate African and South Asian compute diversification:** The structural case for distributed compute infrastructure in stable, energy-rich emerging markets has been dramatically strengthened by this conflict. Ethiopia, Kenya, Morocco, and Nigeria all offer compelling risk-adjusted profiles relative to Gulf alternatives.
- **Engage national data sovereignty frameworks now:** Governments that have migrated significant public sector data to commercial hyperscalers in conflict-proximate geographies should initiate data repatriation strategies and assess national compute infrastructure requirements.

For Cybersecurity and Risk Management Functions

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- **Heighten monitoring for Iranian-linked APT activity:** CISA, FBI, and NSA have explicitly warned that Iranian-affiliated actors remain capable of destructive attacks against US and allied critical infrastructure. Threat hunting should focus on VPN logs, edge devices, and identity infrastructure for signs of long-dwell APT presence.
- **Prepare for information operations alongside cyber attacks:** Iranian groups have demonstrated a consistent pattern of mixing genuine attacks with fabricated claims to maximize psychological impact. Incident response plans must include external communications protocols to manage the disinformation dimension of a cyber incident.
- **Assess GPS and GNSS dependency:** The GPS jamming documented in the Middle East theater underscores the vulnerability of satellite navigation systems. Organizations with operational technology systems relying on GNSS timing should implement backup synchronization infrastructure.

IX. Conclusion

The US–Iran conflict that erupted in February 2026 has permanently altered the threat landscape for digital infrastructure. Within the first two weeks, the conflict produced: the first confirmed military strikes on hyperscale cloud data centers; the simultaneous closure of the only two maritime corridors carrying data in and out of the Gulf; a near-total domestic internet blackout in Iran; a 700% surge in cyberattacks targeting regional infrastructure; and cascading service disruptions affecting banking, commerce, and government systems across multiple sovereign jurisdictions.

The fundamental shift is doctrinal, not merely tactical. Data centers, submarine cables, and cloud infrastructure have crossed a threshold: they are now recognized by state and non-state actors alike as legitimate, high-value military targets. The convergence of commercial cloud infrastructure with military AI workloads, exemplified by the US military's use of AWS-hosted AI systems during the very strikes that prompted Iran's attacks on AWS facilities, makes this dual-use reality impossible to disentangle.

For the Tatari Institute's research and investment focus, this conflict accelerates a thesis we have articulated since our founding: that sovereign-anchored, geographically distributed compute infrastructure in stable, energy-rich emerging markets is not a second-best alternative to Gulf hyperscaler investment. It is, increasingly, the superior risk-adjusted option. The Gulf's structural advantages, capital, energy, political alignment, remain. But they now coexist with drone warfare, cable vulnerability, and the demonstrated willingness of a capable adversary to target commercial technology infrastructure as a vector of strategic coercion.

The data is no longer safe in the cloud if the cloud is in the crosshairs.

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